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CSE 471

Assignment 1

Section 09

① a)

	2012	2013	2014	2015
Total benefits	0	2065500	2148120	2212564
Total costs	279000	461000	469700	483252
Net benefit = total benefit - total cost	(279000)	1604500	1678420	1729312
cumulative net benefits	(279000)	1325500	3003920	4733232

$$\text{Total benefits} = 0 + 2065500 + 2148120 + 2212564 \\ = 6426184$$

$$\text{Total costs} = 279000 + 461000 + 469700 + 483252 \\ = 1692952$$

$$\text{ROI} = \frac{\text{total benefits} - \text{total costs}}{\text{Total costs}} \\ = \frac{6426184 - 1692952}{1692952} \times 100$$

$$= 279.58 \times 100 \\ = 279.5\%$$

$$\text{b) BEP} = \text{number of years of neg cash flow} + \frac{\text{first positive cumulative net benefit years} \left(\frac{\text{net benefits} - \text{cumulative net bene}}{\text{first positive cumulative net benefit years} \left(\text{net benefits} \right)} \right)}{\text{first positive cumulative net benefit years} \left(\text{net benefits} \right)} \\ = 0 + \frac{1604500 - 1325500}{1604500} \\ = 0.173 \text{ years}$$

$$e) \quad r = 6\% = 0.06$$

$$PV = \frac{\text{cash flow}}{(1+r)^n}$$

	2012(0)	2013(1)	2014(2)	2015(3)	Total
Total benefit	0	2065500	2148120	2212564	
PV of total benefit	0	1948584	1911819	1857711	5718114
Total costs	279000	461000	469700	483252	
PV of total costs	279000	434905	418031	405747	1537683

$$PV_0(TB) = 0$$

$$PV_1(TB) = \frac{2065500}{(1+0.06)^1}$$

$$= 1948584$$

$$PV_2(TB) = \frac{2148120}{(1+0.06)^2}$$

$$= 1911819$$

$$PV_3(TB) = \frac{2212564}{(1+0.06)^3}$$

$$= 1857711$$

$$PV_0(TC) = \frac{279000}{(1+0.06)^0}$$

$$= 279000$$

$$PV_1(TC) = \frac{461000}{(1+0.06)^1} = 434905$$

$$= \cancel{288125}$$

$$PV_2(TC) = \frac{469700}{(1+0.06)^2} = 418031$$

$$= \cancel{183476}$$

$$PV_3(TC) = \frac{483252}{(1+0.06)^3}$$

$$= \cancel{117981}$$

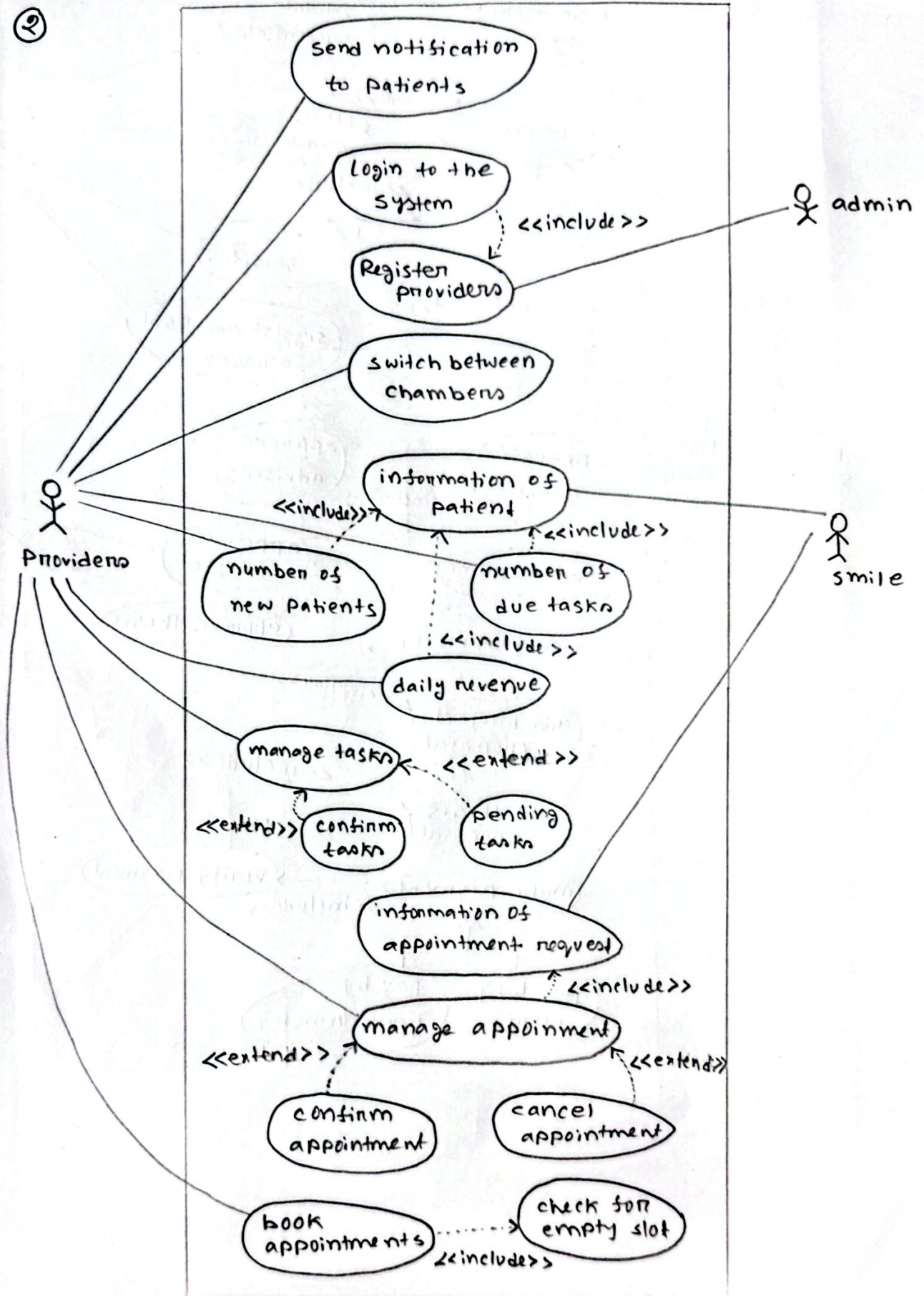
$$= 405747$$

$$NPV = \sum PV \text{ of total benefit} - \sum PV \text{ of total cost}$$

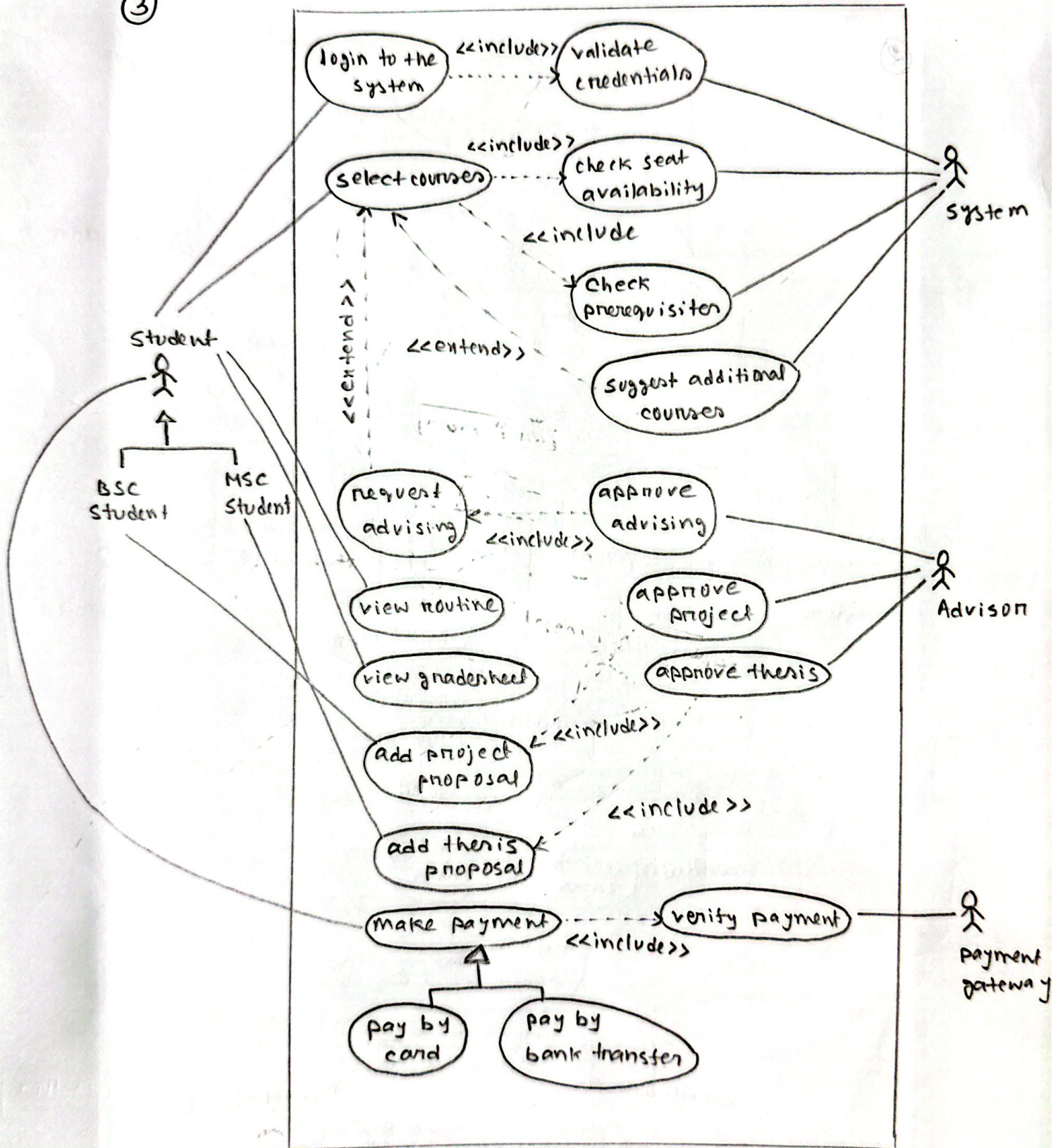
$$= 5718114 - 1537683$$

$$= 4180431$$

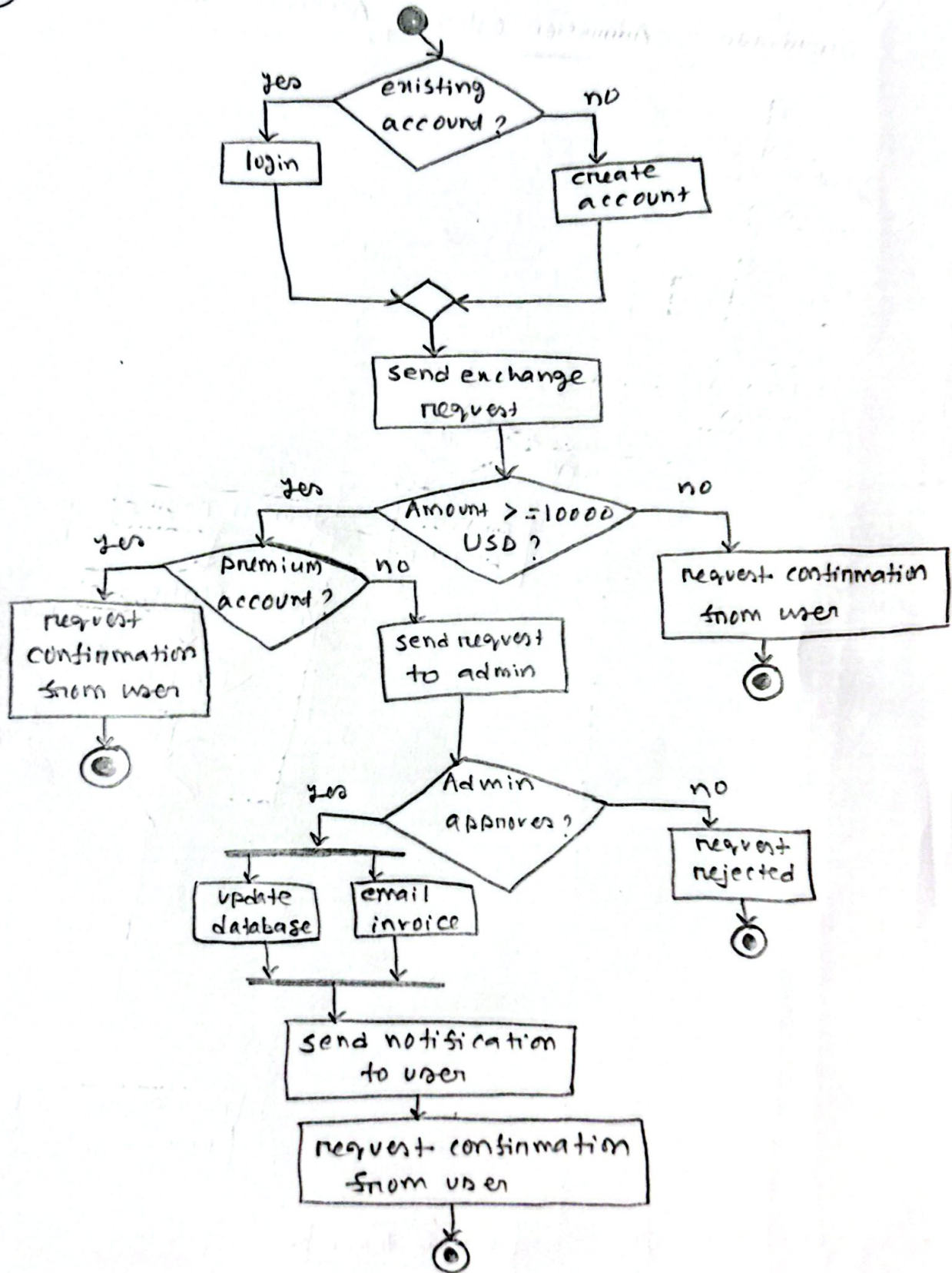
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③



4



⑤

